

date on which the option for composition levy is exercised or within such further period as may be extended by the Commissioner in this behalf.

Q 37. Can a person making application for fresh registration under GST opt for composition levy at the time of making application for registration?

Ans. Yes. Such persons may give an option to pay tax under section 10 in Part B of FORM GST REG-01, which shall be considered as an intimation to pay tax under the said section.

Q 38. Can the option to pay tax under composition levy be exercised at any time of the year?

Ans. No. The option has to be given electronically in FORM GST CMP-02, prior to the commencement of the financial year for which the option to pay tax under the aforesaid section is exercised.

Q 39. Can a person who has already obtained registration, opt for payment under composition levy? If so, how?

Ans. Yes. Such persons need to give intimation electronically in Form GST CMP-02. But the same must be done prior to commencement of financial year.

Q 40. What are the compliances from ITC reversal point of view that need to be made by a person opting for composition levy?

Ans. The registered person has to pay an amount equal to the input tax credit in respect of stocks held on the day